
UNIT 3 DEMOGRAPHIC TRANSITION AND ITS IMPLICATIONS

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3.0 OBJECTIVES

After reading this unit, you will be able to:

- understand the impact of demography on economic growth and comprehend the concept of demographic dividend in detail;
- assess the role of health, education, and employment in harnessing the demographic window of opportunity;
- recognise the constraints that a nation faces in harnessing the benefits of the demographic dividend;
- know the demographic profile of India; and
- analyses how the population growth affects economic development.

3.1 INTRODUCTION

The relationship between population growth and economic development has been debated for several decades. The early Malthusian view was the pessimistic argument stating that population growth impedes economic growth resulting in reduction in per-capita income and resources which results in deterioration of quality of life. The optimistic argument emphasises that population growth promotes economic development as experienced by several East Asian countries. A young educated population increases productivity and contributes to invention and innovation of technologies.

An increase in the proportion of working age population (15-59) and fall in the proportion of dependent population of age groups (0-15) and 60+ gives birth to a window of opportunity termed as demographic dividend. The working age population helps in increasing savings, investment and improves the economic prosperity and standard of living of people. However, the benefits of demographic dividend are not automatic or guaranteed. It depends upon several factors like education, health, employment, infrastructure, right economic policies, and good governance. The potential demographic dividend if not actualised may turn into demographic disaster where young population becomes a liability or permanent burden on the economy.

3.2 THE THEORY OF DEMOGRAPHIC TRANSITION

The process by which fertility rates eventually decline to low and stable levels has been called demographic transition. Fertility rate is defined as the average number of children per women in the reproductive age group. Demographic transition postulates three stage sequences of birth and death rates which are associated with economic development. It explains phasing out process of population growth rates starting from virtually stagnant growth stage characterised by high birth and death rates through a rapid-growth stage with high birth and low death rates to stable, low growth stage in which both birth and death rates are low. This demographic transition has been witnessed in contemporary developed nations as they developed and one can identify the developing nations as they move through the different stages of this transition. The issue is what explains this transition or what are the factors that contribute to it.

First Stage of Demographic Transition

In this stage the death rates are high due to absence of effective medical aid, primitive sanitation, and poor diets. The birth rates are also high on account of absence of knowledge about family planning techniques, early age of marriage, illiteracy and deep-rooted social beliefs, and customs about the size of the family including, as an insurance against high child mortality rates. The actual rate of growth of population is low since high birth rate is balanced by high death rate.

Second Stage of Demographic Transition

With economic development resulting in high incomes, improvement in public health facilities there is a marked decline in mortality that raises life expectancy from under 40 years to 60 years. However, the decline in death rate is not immediately accompanied by decline in fertility. In this stage of demographic

transition, with declining death rate, birth rate does not fall correspondingly. This leads to transition from stable or slow growing population to rapidly increasing population.

Third Stage of Demographic Transition

The forces and influences of modernisation (including increase in female work participation rate and move towards nuclear families) and economic development causes fertility rate to decline so that falling birth rate eventually converges with the death rate leaving little or no population growth. The characteristics of the third stage are low birth rate, low death rate, small family size and low growth rate of population.

3.3 DEMOGRAPHIC PROFILE OF INDIA

3.3.1 Size and Growth Rate of Population in India

The study of India's demography is essential to understand the dynamics of economic development and economic welfare. Theory of demographic transition helps to understand and analyse the change in the magnitude of population.

India has around 2.4 per cent of the total land area of the world and approximately 17 per cent of the world population residing in this country. In 2011 the population of India was 1210 million, making it the second largest in the world. Area-wise, India is at the seventh position in the world.

India's Demographic Phases:

A study of growth rate of India's population can be categorised into four phases

Phase I: 1891-1921(Stagnant Population)

During the first phase of 30 years India's population grew from 236 million in 1891 to 251 million in 1921. High birth rate was neutralised by high death rate that ensured that population growth was stable during this period. Population increased by 15 million only and the compound annual growth rate was just 0.19 per cent per year. India's first stage of demographic transition was marked by stagnant population.

Phase II: 1921-1951(Steady Growth)

During the second phase of demographic transition population grew from 251 million in 1921 to 361 million in 1951. The population grew by 110 million with compound growth rate of 1.22 per cent per year. The death rate during this period decreased from 47 per thousand to 27 per thousand. The fall in death rate was mainly due to control of widespread epidemics like plague, smallpox, cholera etc. that took heavy toll of human lives. From 1921 onwards India entered the second phase of demographic transition marked by steady but low growth rate of population.

Phase III: 1951-1981(Rapid Growth)

During the third phase of 30 years India's population grew from 361 million in 1951 to 683 million in 1981. There was a record growth of population by 322 million with compound annual growth rate of 1.22 per cent per annum. With the beginning of planning, the extension of hospitals and medical facilities was under-